

sellable
Puttable Bond

Puttable bonds features

Bondholder calls shots vs issuer for CB



Bondholder has the ^{right} option to sell (put) the bond back to the company before maturity at the ^{fixed} put price (predetermined).

(demanding their money back + terminating life of bond)



This is a benefit to the bondholder. Hence, in general they will sell at a relatively lower yield (sell at a ^{higher price} ^{relative to VB} premium, lower coupon) relative to similar non-puttable bonds.



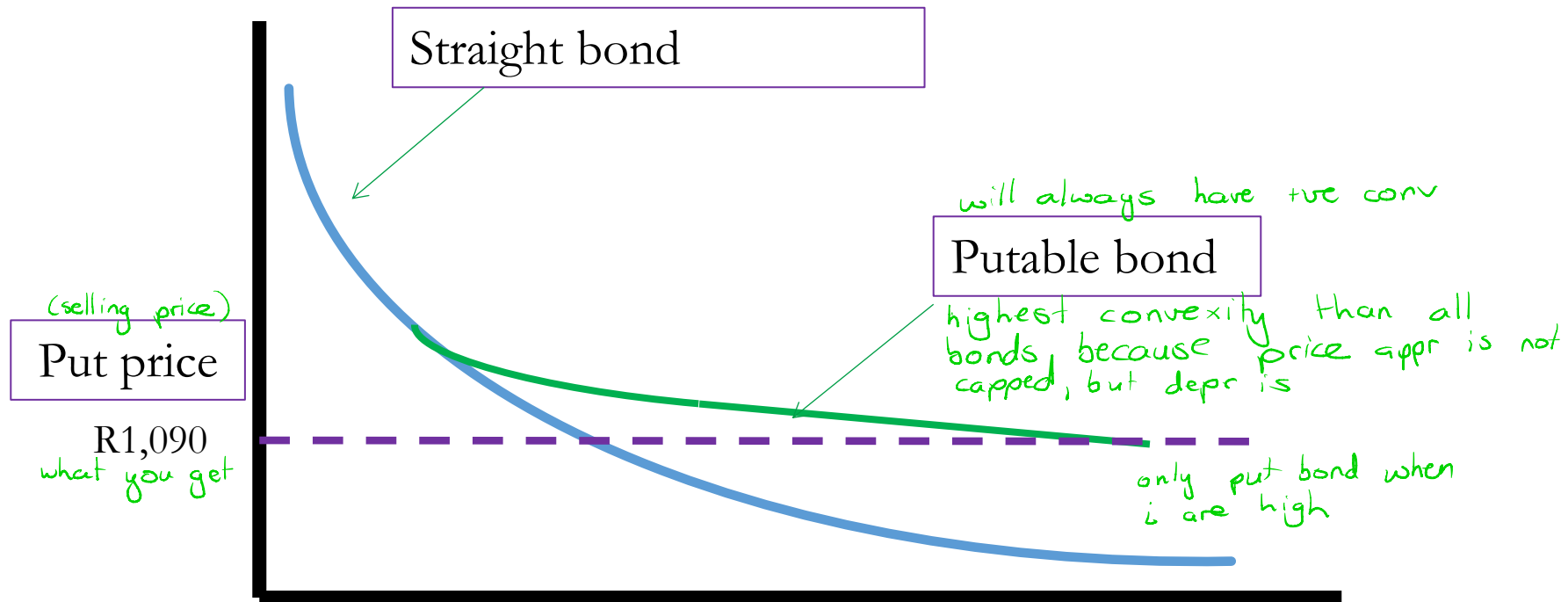
Under what circumstances would you exercise the right to “put” your bond.

- ✓ When interest rates rise.
- ✓ When the bond price is equal to or drops below the put price.
- ✓ After the lockout period.

take your money + buy new bonds @ higher y, lower p

Putable Bonds price-yield relationship

Putable Bond Vs. Straight Bond



- ❖ If the put option is exercised when the price is above the put price e.g. when bond price is $R1,400$. You make an accounting loss of $R1,400 - 1,090 = (R310)$ $\therefore$ you wait for $BP \leq PP$
- ❖ A putable bond will always have positive convexity

Putable Bonds

Why would a company issue a putable bond

- 1) To ^{bondholder} ^{puts investors @ an advantage} incentivise investors, some companies are not “attractive”.
- 2) To make a meal out their bet (on interest rates decline, [i.e to make a saving/raise more money based from betting on market conditions] ^(don't anticipate ↑)

13:00 Suppi bond snapshot from prev lecture

14:42

* 22:50

Callable Bonds features

Consolidation

$$\text{value}_{PB} = V_{VB} + \text{put option} \quad (V_{PB} \text{ always } \geq V_{VB})$$

no embedded Δ
receive all coupons

What are the differences between a vanilla bond and a (1) Callable bond (2) Puttable bond

right to call
issuer @ adv

right to put
bondholder @ advantage

- If all 3 have same C_r , puttable will have highest p , lowest y
- vanilla will be 2nd in demand.
- callable will have lowest p , highest y (riskier for investor)

(sensitivity)

Duration ranking: 1) Vanilla (sensitivity not restricted)
2) Puttable (BP can only drop to 0)
3) Callable (appr. is capped)

Understand/compare:

1. Circum where they max returns
2. " " destroy value